Real Estate Finance

Assignment Booklet

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General Information

Course Timing Guidelines:

- Minimum of 2 ½ weeks to complete each course
  - 1 Course = 18 days, 2 Courses = 36 days, 3 Courses = 54 days, etc.
- Maximum of 1 year to complete the courses for which you are enrolled
- Guideline questions may be answered by calling Revei: (800) 582-7979

Test Information:

- Each course has its own open-book final exam
- Final exams are 100 multiple choice questions
- Maximum of 3 hours to complete each exam
- Use of a *non-programmable* calculator is permitted

Special Note: Students wishing to take a proctored final exam (taking exam with pen and paper) must contact Revei in order to do so. Taking proctored exams is subject to an extra fee, pursuant with extra paper and mailing costs. *All course and testing information and guidelines remain the same when testing with a proctor.*

Cancellation & Refund Policy:

Cancellation – Student must terminate enrollment by phone. All course textbooks and materials must be returned unused, in mint condition, for any cancellation to be valid. Cost of returning materials will belong to student. *Refund* – 100% refund of purchase price will be honored if student terminates enrollment within 7 days from the date of purchase. 50% refund of purchase price will be honored if student terminates enrollment within 14 days from the purchase date. No refunds will be given for cancelling after 14 days from purchase date. Refunds will only be processed after materials have been returned to Revei.

Testing & Grading:

Final exams are available through the Revei Learning Portal at www.revei.com. Please see the login instructions included in your package for username and password. Passing score is 60% or better.

1. Usury is:
    a. an interest payment in excess of the legally permitted rate.
    b. a medieval form of slavery.
    c. a person who has a financial trust.
    d. none of the above.
2. A fiduciary is:
    a. a person who is a lawyer.
    b. a person who is a lender.
    c. a person who has a financial trust.
    d. none of the above.
3. The Federal Reserve is empowered to:
    a. set reserve requirements.
    b. oversee Regulation Z.
    c. control open market operations.
    d. all of the above.
4. The Federal Reserve is NOT empowered to:
    a. appoint bank presidents.
    b. oversee Regulation Z.
    c. control open market operations.
    d. all of the above.
5. An underwriter:
    a. is an insurance agent.
    b. is a federal reserve board official.
    c. makes an assessment of loan risk.
    d. none of the above.
6. Personal property that is included with real estate is called:
    a. pawn.
    b. chattel.
    c. legacy.
    d. all of the above.
7. An estate that is limited to the lifetime of the owner is called a:
    a. fee simple estate.
    b. leased fee estate.
    c. leasehold estate.
    d. life estate.
8. An estate that is limited to the lifetime of the owner is called a:
    a. fee simple estate.
    b. leased fee estate.
    c. leasehold estate.
    d. life estate.
9. The first central bank in the United States was the:
    a. Bank of the United States.
    b. Federal Reserve.
    c. Bank of New England.
    d. Subtreasury.
10. The first central bank was:

a. the Bank of the United States.
b. the Federal Reserve.
c. the Bank of England.
d. none of the above.

11. Minimum capitalization and reserves for any bank that applied for a National Bank Charter was originally set by:
    a. The Wildcat Era Act of 1763.
    b. The National Bank Act of 1963.
    c. The National Bank Act of 1863.
    d. all of the above.
12. The Federal Reserve System is overseen by:
    a. a Board of Governors.
    b. the President of the United States.
    c. the member banks.
    d. Congress.
13. The London Goldsmiths:
    a. developed deposit banking.
    b. developed bearer notes.
    c. made loans from their clients' money.
    d. all of the above.
14. Which of the following is the highest legal form of property ownership?
    a. Freehold Estate
    b. Fee Simple Estate
    c. Leasehold Estate
    d. None of the above
15. The prime rate is:
    a. a bank's lowest rate to its best customers.
    b. based on a customer's average daily balance.
    c. given only to bank employees.
    d. none of the above.
16. The legal power to print money is called:
    a. the fiduciary power.
    b. the power of currency issue.
    c. open market operations.
    d. none of the above.
17. Open market operations are:
    a. carried out by the U.S. Treasury.
    b. sales and purchases of U.S. Treasury Bonds by the Federal Reserve.
    c. directed by the President of the U.S.
    d. none of the above.
18. The prime rate is:
    a. a bank's rate to its best customers.
    b. based on a customer's average daily balance.
    c. given only to bank employees.
    d. none of the above.
19. A stock certificate is:

a. a loan document.
b. an ownership interest document.
c. a legal tender form of money.
d. none of the above.

20. Open market operations are:
    a. carried out by the U.S. Treasury.
    b. sales and purchases of U.S. Treasury Bonds by the Federal Reserve.
    c. directed by the President of the United States.
    d. none of the above.
21. A bond is:
    a. a tax lien.
    b. an ownership document.
    c. a form of usury.
    d. a debt instrument.
22. In a buyer's market:
    a. demand exceeds supply.
    b. supply and demand is in balance.
    c. supply exceeds demand.
    d. none of the above.
23. In a seller's market:
    a. supply exceeds demand.
    b. demand exceeds supply.
    c. home prices decline.
    d. none of the above.
24. A term meaning a loss of deposits to higher yielding investments is:
    a. deduction.
    b. destruction.
    c. depreciation.
    d. disintermediation.
25. Predatory loan practices include:
    a. fraud.
    b. usury.
    c. deception.
    d. all of the above.
26. The study and description of the population of an area is called:
    a. disintermediation.
    b. demographics.
    c. depreciation.
    d. none of the above.
27. The primary market is made up of:
    a. first-time homebuyers.
    b. federal agencies.
    c. local lending institutions.
    d. none of the above.
28. Impact fees:
    a. are charged by lenders during periods of high loan demand.

b. are levied on new housing projects to pay for community infrastructure.
c. were specifically developed by lenders to stifle new construction.
d. all of the above.

29. FHLMC (Freddie Mac) is an example of:
    a. a secondary market participant.
    b. a primary market only participant.
    c. a federal agency lender open only to veterans.
    d. none of the above.
30. The private, quasi-private, and government agencies that buy mortgages are collectively known as:
    a. the primary market.
    b. the secondary market.
    c. the equity market.
    d. none of the above.
31. Traditional savings and loans:
    a. were the oldest and largest traditional source of mortgage funding.
    b. invested up to 75% of their funds in the single-family residential market.
    c. dominated local real estate lending markets.
    d. all of the above.
32. Which of the following is a government agency?
    a. FNMA
    b. FHLMC
    c. GNMA
    d. All of the above
33. Money market funds are:
    a. the same as mutual funds.
    b. private noninsured investment accounts.
    c. held in the lender's portfolio.
    d. none of the above.
34. A portfolio loan:
    a. is held by the lender and not sold in the secondary market.
    b. is sold into the secondary market.
    c. has a higher return of interest.
    d. none of the above.
35. The type of lending institutions that focus on short-term business investments and have mostly short-term funds are:
    a. S&Ls.
    b. commercial banks.
    c. life insurance companies.
    d. mortgage companies.
36. The first rule of interest returns is:
    a. the higher the rate of return, the lower the risk involved.
    b. the lower the rate of return, the greater the risk involved.
    c. the higher the rate of return, the greater the risk involved.
    d. both a and b.
37. Traditionally, life insurance companies made loans for:

a. single-family homes.
b. short-term business loans.
c. large-scale commercial real estate projects.
d. resale to the secondary market.

38. FIRREA refers to the:
    a. Financial Institutions Repeal, Restitution, and Empowerment Act.
    b. Financial Institutions Reform, Recovery, and Enjoyment Act.
    c. Financial Institutions Reform, Recovery, and Enforcement Act.
    d. none of the above.
39. Mortgage bankers/mortgage companies:
    a. both originate and loan funds.
    b. act only as "go-betweens".
    c. are part of the secondary market only.
    d. none of the above.
40. FIRREA:
    a. protects the federal deposit insurance funds.
    b. applies to all federally related transactions.
    c. sets procedures for loans in federally related transactions.
    d. all of the above.
41. An unincorporated association of real estate investors managed by a trustee is a:
    a. bank.
    b. real estate brokerage.
    c. real estate investment trust.
    d. mortgage company.
42. Pension plans are protected and governed by the provisions of:
    a. The Fair Housing Act.
    b. The Employee Retirement Income Security Act.
    c. The Social Security Act.
    d. all of the above.
43. Credit unions:
    a. are not allowed to make real estate loans.
    b. have a relatively small overall share of the mortgage lending market.
    c. are never allowed to merge with other credit unions.
    d. all of the above.
44. Insurance companies have:
    a. lower costs of funds than competitors.
    b. higher costs of funds than competitors.
    c. less money to invest than banks.
    d. no interest in investing in real estate.
45. An investment is said to be liquid when it:
    a. can be readily sold.
    b. is worthless.
    c. is guaranteed by the government.
    d. is difficult to sell.
46. A loan that has been held for a sufficient time to establish that the borrower is making his or her payments in a timely fashion is said to be:

a. qualified.
b. brokered.
c. seasoned.
d. all of the above.

47. Mortgage-related securities:
    a. are easily bought and sold.
    b. are issued by participants in the secondary market.
    c. have real estate mortgages as their collateral.
    d. all of the above.
48. Mortgage brokers:
    a. make loans from their own funds.
    b. are primary lenders.
    c. are financial "go betweens".
    d. none of the above.
49. Private mortgage insurance is required on loans that exceed what percentage of the value of a property?
    a. 20%
    b. 50%
    c. 80%
    d. None of the above
50. Standard & Poor's and Moody's are:
    a. rating services.
    b. mortgage insurance companies.
    c. brokerage firms.
    d. none of the above.
51. Collateralized mortgage securities are separated into different classes called:
    a. shelters.
    b. trenches.
    c. tranches.
    d. none of the above.
52. The process of tracking mortgages in a pool and comparing their rates to current market rates is called:
    a. an investment rating.
    b. pool analysis.
    c. market analysis.
    d. marking to market.
53. If $100 million worth of mortgages is used to collateralize $90 million worth of mortgages for a pass-through, the $90 million principal balance is called:
    a. a subordinate pass-through.
    b. a senior pass-through.
    c. a junior pass-through.
    d. an under-collateralized pass-through.
54. Default is:
    a. a downturn in the bond market.
    b. the nonpayment of a mortgage by a borrower.
    c. a late payment by a borrower.

d. all of the above.

55. Institutions in the Farm Credit System are regulated and examined by:
    a. FNMA.
    b. the Farm Credit Administration.
    c. FHLMC.
    d. all of the above.
56. If $100 million worth of mortgages is used to collateralize $90 million of mortgages for a pass-through, the additional $10 million is called:
    a. a subordinate pass-through.
    b. a senior pass-through.
    c. a junior pass-through.
    d. an under-collateralized pass-through.
57. FNMA and FHLMC are:
    a. government agencies.
    b. primary lenders.
    c. funded by the U.S. Treasury.
    d. government-chartered private lenders.
58. Institutions in the Farm Credit System are regulated and examined by:
    a. FNMA.
    b. The Farm Credit Administration.
    c. FHLMC.
    d. all of the above.
59. What agency exists solely to provide a secondary market for farm mortgages?
    a. "Farmer Mac"
    b. "Freddie Mac"
    c. "Sally Mae"
    d. "Fannie Mae"
60. FNMA and FHLMC are:
    a. government agencies.
    b. primary lenders.
    c. funded by the U.S. Treasury.
    d. government-chartered private lenders.
61. Redlining is:
    a. refusal to lend in certain neighborhoods.
    b. not lending to bad credit customers.
    c. not lending on insufficient collateral.
    d. all of the above.
62. Which of the following is an agency that exists solely to provide a secondary market for farm mortgages?
    a. "Farmer Mac"
    b. "Freddie Mac"
    c. "Sally Mae"
    d. "Fannie Mae"
63. FIRREA applies to:
    a. everyone involved in a federally related transaction.
    b. appraisers only.

c. lenders only.
d. regulators only.

64. The Federal Fair Housing Act is part of:
    a. the Civil Rights Act of 1866.
    b. the Civil Rights Act of 1968.
    c. FIRREA.
    d. none of the above.
65. It is illegal to discriminate:
    a. by intent.
    b. by effect.
    c. by practice.
    d. all of the above.
66. FIRREA applies to:
    a. everyone involved in a federally related transaction.
    b. appraisers only.
    c. lenders only.
    d. regulators only.
67. Regulation Z:
    a. allows a married woman to maintain separate credit.
    b. is overseen by the U.S. Supreme Court.
    c. is overseen by the Federal Reserve Board.
    d. none of the above.
68. It is illegal to discriminate:
    a. by intent.
    b. by effect.
    c. by practice.
    d. all of the above.
69. Regulation Z:
    a. allows the right of rescission.
    b. requires that a consumer be provided with the annual percentage rate.
    c. requires proper disclosure of all finance terms in advertising.
    d. all of the above.
70. RESPA:
    a. was passed to protect consumers from abusive lending practices.
    b. requires a Good Faith Estimate and Uniform Settlement Statement.
    c. requires that consumers receive a HUD booklet.
    d. all of the above.
71. Which of the following is TRUE regarding ownership?
    a. Real estate is the ownership of the physical land itself.
    b. Real property is the bundle of rights that come with the ownership of real estate.
    c. Both a and b are correct.
    d. None of the above.
72. Regulation Z:
    a. allows the right of rescission.
    b. requires that a consumer be provided with the annual percentage rate.

c. requires proper disclosure of all finance terms in advertising.
d. all of the above.

73. In most states, the form of deed most commonly used in real estate transactions is the:
    a. general warranty deed.
    b. grant deed.
    c. quitclaim deed.
    d. none of the above.
74. Which of the following is NOT an ownership right included in the real property bundle of rights?
    a. The right to possess
    b. The right to ignore all zoning laws
    c. The right to rent to others
    d. The right to dispose of by sale, will, or transfer
75. The constitutional amendment that reserves all powers not granted to the federal government to the states is the:
    a. 5th Amendment.
    b. 10th Amendment.
    c. 13th Amendment.
    d. 15th Amendment.
76. In a deed, the owner who is transferring title is called:
    a. the grantor.
    b. the grantee.
    c. the grandee.
    d. none of the above.
77. The return of property to a landlord at the end of a lease is called a:
    a. reversion.
    b. transfer.
    c. release.
    d. none of the above.
78. The constitutional amendment that reserves all powers that are not granted to the federal government to the states is the:
    a. 5th Amendment.
    b. 10th Amendment.
    c. 13th Amendment.
    d. 15th Amendment.
79. A landlord holds property in:
    a. fee simple estate.
    b. leasehold estate.
    c. leased fee estate.
    d. reversionary estate.
80. The return of property to a landlord at the end of a lease is called a:
    a. reversion.
    b. transfer.
    c. release.
    d. none of the above.
81. In a promissory note, the borrower is called the:

a. payee.
b. maker.
c. beneficiary.
d. none of the above.

82. A lessee holds possession in:
    a. fee simple estate.
    b. leasehold estate.
    c. leased fee estate.
    d. reversionary estate.
83. The seller in a real estate land contract is known as the:
    a. pawn.
    b. vendor.
    c. vendee.
    d. none of the above.
84. In a promissory note, the person or entity promised payment is the:
    a. payee.
    b. maker.
    c. beneficiary.
    d. none of the above.
85. A declaration of default is prepared by:
    a. a tenant.
    b. a sheriff.
    c. a borrower.
    d. a lender.
86. Under a real estate land contract, the buyer is known as the:
    a. pawn.
    b. vendor.
    c. vendee.
    d. none of the above.
87. A foreclosure that does not have to be taken to court is called:
    a. nonjudicial.
    b. nonrecurring.
    c. nonamortized.
    d. all of the above.
88. A Notice of Default and Election to Sell is prepared by:
    a. a trustee.
    b. a sheriff.
    c. a borrower.
    d. none of the above.
89. All of the following are true regarding a Notice of Sale, except:
    a. the notice must be published in a newspaper.
    b. the notice must be court-ordered.
    c. the notice must be sent to the borrower.
    d. the notice must be posted on the property.
90. A foreclosure that does have to be taken to court is called:
    a. a judicial foreclosure.

b. a grant deed sale.
c. a trustor's action.
d. all of the above.

91. A clause in a finance instrument that allows a lender to demand immediate payment in the event of a default by the borrower is called:
    a. a prepayment clause.
    b. an alienation clause.
    c. an acceleration clause.
    d. none of the above.
92. Before a trustee's sale can take place, a trustee must publish a Notice of Sale:
    a. on the Internet for at least 60 days.
    b. in a newspaper weekly for at least 20 days.
    c. with a local MLS for at least 90 days.
    d. all of the above.
93. The right of a borrower to redeem property after a sheriff's sale is called:
    a. the equitable right of redemption.
    b. the statutory right of redemption.
    c. a due-after-sale provision.
    d. all of the above.
94. A clause in a finance instrument that allows a lender to demand immediate payment in the event of a default by the borrower is called:
    a. a prepayment clause.
    b. an alienation clause.
    c. an acceleration clause.
    d. none of the above.
95. The right of a borrower to pay the amount due to the lender before a sheriff's sale is called:
    a. the equitable right of redemption.
    b. the statutory right of redemption.
    c. a due-on-sale provision.
    d. all of the above.
96. The right of a borrower to redeem property after a sheriff's sale is called:
    a. the equitable right of redemption.
    b. the statutory right of redemption.
    c. a due-after-sale provision.
    d. all of the above.
97. A clause in a financial instrument that limits a borrower's right to transfer the property without the lender's permission is called:
    a. an acceleration clause.
    b. an alienation clause.
    c. a prepayment clause.
    d. none of the above.
98. The right of a borrower to pay the amount due to the lender before a sheriff's sale is called:
    a. the equitable right of redemption.
    b. the statutory right of redemption.

c. a due-on-sale provision.
d. all of the above.

99. Bankruptcies must be reported if they have occurred within the past:
    a. 3 years.
    b. 7 years.
    c. 10 years.
    d. 15 years.

100. All lenders have the power to enforce "due on sale" clauses as a result of the:
    a. Garn-St. Germaine Act.
    b. Subordination Act.
    c. Due-on-Sale Act.
    d. none of the above.

101. A credit report is:
    a. paid for at the time of application.
    b. provided by the borrower.
    c. ordered by the escrow agent.
    d. not necessary.

102. Foreclosures must be reported if they have occurred within the past:
    a. 3 years.
    b. 7 years.
    c. 10 years.
    d. 15 years.

103. The first step in the loan process is:
    a. obtaining the credit report.
    b. setting up escrow.
    c. filling out the loan application.
    d. obtaining a sales contract.

104. A credit report is:
    a. paid for at the time of application.
    b. provided by the borrower.
    c. ordered by the escrow agent.
    d. not necessary.

105. A borrower must provide employment status for the past:
    a. one year.
    b. two years.
    c. three years.
    d. five years.

106. Discrimination in the loan process is prohibited by the:
    a. Lender Ethics Act.
    b. Federal Consumer Lending Commission.
    c. Equal Credit Opportunity Act.
    d. all of the above.

107. Information provided for government monitoring purposes is:
    a. required.
    b. highly intrusive.
    c. used for racially redlining borrowers.

d. none of the above.

108. A borrower must provide employment status for the past:
    a. one year.
    b. two years.
    c. three years.
    d. five years.

109. An appraiser provides:
    a. an opinion of the value of the loan.
    b. an opinion of the value of the borrower's credit.
    c. an opinion of the value of the property.
    d. all of the above.

110. Information provided for government monitoring purposes is:
    a. required.
    b. highly intrusive.
    c. used for racially redlining borrowers.
    d. none of the above.

111. An escrow agent:
    a. fills out the loan application.
    b. obtains the credit report.
    c. acts on the instructions of the parties to the loan.
    d. all of the above.

112. An appraiser provides:
    a. an opinion of the value of the loan.
    b. an opinion of the value of the borrower's credit.
    c. an opinion of the value of the property.
    d. all of the above.

113. Real estate loans would be noted on the loan application under:
    a. assets and liabilities.
    b. declarations.
    c. details of purchase.
    d. monthly housing expense.

114. An escrow agent:
    a. fills out the loan application.
    b. obtains the credit report.
    c. acts on the instructions of the parties to the loan.
    d. all of the above.

115. In processing a loan, a commitment for private mortgage insurance would be required if the down payment was less than:
    a. 50%.
    b. 40%.
    c. 20%.
    d. none of the above.

116. Real estate loans would be noted on the loan application under the section called:
    a. assets and liabilities.
    b. declarations.
    c. details of purchase.

d. monthly housing expense.

117. A loan that is repaid with periodic payments that include principal and interest so that the entire loan is paid by the end of the term is a(n):
    a. unconventional loan.
    b. straight note loan.
    c. annualized loan.
    d. amortized loan.

118. In processing a loan, a commitment for private mortgage insurance would be required if the down payment was less than:
    a. 05%.
    b. 10%.
    c. 20%.
    d. none of the above.

119. A conventional loan is a loan that:
    a. follows the secondary market's underwriting guidelines.
    b. is not insured or guaranteed by any government entity.
    c. has the normal seller financing terms.
    d. all of the above.

120. A loan that is repaid with periodic payments that include principal and interest so that the entire loan is paid by the end of the term is a(n):
    a. unconventional loan.
    b. straight note loan.
    c. annualized loan.
    d. amortized loan.

121. A loan that exceeds the maximum amount that FNMA or FHLMC will lend is called:
    a. a jumbo loan.
    b. a maxi-loan.
    c. a titanic loan.
    d. none of the above.

122. A conventional loan is a loan that:
    a. follows the secondary market's underwriting guidelines.
    b. is not insured or guaranteed by any government entity.
    c. has the normal seller financing terms.
    d. all of the above.

123. A mortgage that remains at the same rate for the life of the loan is called:
    a. single rate.
    b. fixed rate.
    c. closed rate.
    d. nonassumable.

124. A fee that covers the administrative costs of providing a loan is called a:
    a. loan origination fee.
    b. loan fee.
    c. loan service fee.
    d. all of the above.

125. A loan that meets the standards of the secondary market is called a:
    a. conventional loan.

b. nonconventional loan.
c. conforming loan.
d. none of the above.

126. A mortgage that remains at the same rate for the life of the loan is called:
a. single rate.
b. fixed rate.
c. closed rate.
d. nonassumable.

127. The greatest risk of default is caused by:
a. large down payments.
b. overpriced housing.
c. small or no down payments.
d. none of the above.

128. A loan that meets the standards of the secondary market is called a:
a. nonconforming loan.
b. nonconventional loan.
c. conforming loan.
d. none of the above.

129. The standard loan-to-value ratio has traditionally been:
a. 60%.
b. 70%.
c. 80%.
d. 90%.

130. The greatest risk of default is caused by:
a. large down payments.
b. overpriced housing.
c. small or no down payments.
d. none of the above.

131. A borrower seeking a conventional loan with a larger LTV than the traditional ratio is required to:
a. have a cosigner on the loan.
b. make a 50% down payment.
c. be over the age of 55.
d. carry private mortgage insurance.

132. The standard loan-to-value ratio has traditionally been:
a. 20%.
b. 50%.
c. 80%.
d. 100%.

133. In a loan with negative amortization, the balance owed:
a. decreases over time.
b. increases over time.
c. remains the same.
d. none of the above.

134. A borrower seeking a conventional loan with a larger LTV than the traditional ratio is required to:

a. have a government job.
b. carry a large life insurance policy.
c. carry private mortgage insurance.
d. all of the above.

135. Private mortgage insurance reduces:
a. the lender's risk of loss in the event of borrower default.
b. the borrower's risk against rising interest rates.
c. the seller's risk in the event of a buyer backing out of the sale.
d. none of the above.

136. In a loan with negative amortization, the balance owed:
a. decreases over time.
b. increases over time.
c. remains the same.
d. none of the above.

137. Alternative financing programs are:
a. popular during times of high interest rates.
b. unpopular during times of high interest rates.
c. illegal under RESPA.
d. none of the above.

138. The mortgage insurance policy:
a. is a contract between the insurer and the lender to protect the lender against borrower default.
b. is a contract between the insurer and the borrower to protect the borrower against lender abuse.
c. is usually required on low loan-to-value payment loans.
d. is usually required on high down payment loans.

139. Based on FNMA and FHLMC guidelines, mortgage interest rates are generally limited by lenders to an annual increase of:
a. 2%.
b. 20%.
c. 200%.
d. none of the above.

140. Alternative financing programs are popular:
a. during times of high interest rates.
b. during times of low interest rates.
c. with older buyers.
d. none of the above.

141. The payment of points to the lender at the time a loan is made to reduce the interest rate and lower the borrower's monthly payments is called:
a. meeting the cap.
b. an index loan.
c. a buydown.
d. none of the above.

142. Based on FNMA and FHLMC guidelines, interest rate caps are generally limited by lenders to an annual increase of:
a. 2%.

b. 14%.
c. 40%.
d. none of the above.

143. A borrower who has a 90% loan at 7.5% interest with a 2% annual interest rate cap must qualify at:
    a. 8%.
    b. 8.5%.
    c. 9%.
    d. 9.5%.

144. The most popular form of alternative financing is the:
    a. GEM.
    b. ARM.
    c. lease/option.
    d. none of the above.

145. "One point" is:
    a. $1,000.00.
    b. 1% of the sales price.
    c. 1% of the loan amount.
    d. none of the above.

146. A borrower who has a 90% loan at 6.5% interest with a 2% annual interest rate cap must qualify at:
    a. 8%.
    b. 8.5%.
    c. 9%.
    d. 9.5%.

147. What age must a reverse mortgage borrower be?
    a. Over 55
    b. Over 62
    c. Over 65
    d. Over 70

148. "One point" is:
    a. $1,000.00.
    b. 1% of the sales price.
    c. 1% of the loan amount.
    d. none of the above.

149. In a growth equity mortgage (GEM):
    a. payments increase annually.
    b. payments decrease annually.
    c. interest rates decrease annually.
    d. none of the above.

150. A statistical report that is generally considered a reliable indicator of the approximate change in the cost of money is called:
    a. an index.
    b. a margin sheet.
    c. a teaser rate sheet.
    d. none of the above.

151. Lenders offering adjustable-rate mortgages must:
    a. comply with Regulation Z.
    b. provide the borrower with a general brochure.
    c. make certain specific disclosures.
    d. all of the above.
152. Lenders offering adjustable-rate mortgages must:
    a. comply with Regulation Z.
    b. provide the borrower with a general brochure.
    c. make certain specific disclosures.
    d. all of the above.
153. The statutory FHA down payment is:
    a. 3%.
    b. 10%.
    c. 50%.
    d. none of the above.
154. The statutory FHA down payment is:
    a. 3%.
    b. 5%.
    c. 10%.
    d. 20%.
155. An FHA appraiser must:
    a. note cosmetic defects only.
    b. provide a Valuation Conditions Form.
    c. provide a Homebuyer's Summary.
    d. note major health and safety deficiencies on the URAR.
156. An FHA appraiser:
    a. is not required to report cosmetic repairs.
    b. is no longer required to provide a Valuation Conditions Form or Homebuyer's Summary.
    c. must note major health and safety deficiencies on the URAR.
    d. all of the above.
157. The FHA maximum debt ratios are:
    a. 25% and 35%.
    b. 29% and 41%.
    c. 50% and 70%.
    d. none of the above.
158. The FHA maximum debt ratios are:
    a. 20% and 40%.
    b. 29% and 41%.
    c. 65% and 75%.
    d. none of the above.
159. The maximum origination fee for both FHA and VA loans is:
    a. 1%.
    b. 10%.
    c. 20%.
    d. none of the above.

160. The maximum origination fee for both FHA and VA loans is:
    a. 1%.
    b. 10%.
    c. 50%.
    d. none of the above.
161. The FHA:
    a. buys loans in the secondary market.
    b. sells loans to the secondary market.
    c. is a direct lender.
    d. insures loans only.
162. The FHA:
    a. buys loans in the secondary market.
    b. sells loans to the secondary market.
    c. is a direct lender.
    d. insures loans only.
163. The minimum requirement in needed repairs for an FHA 203k loan is:
    a. $20,000.
    b. $10,000.
    c. $5,000.
    d. none of the above.
164. A lender who has FHA permission to carry out a loan from origination to closing is called:
    a. an approved lender.
    b. a designated lender.
    c. a direct endorsement lender.
    d. none of the above.
165. The maximum veteran entitlement for a VA loan guaranty is:
    a. $36,000.
    b. $360,000.
    c. $360.
    d. none of the above.

166. The maximum veteran entitlement for a VA loan guaranty is:
    a. $36,000.
    b. $144,000.
    c. $241,000.
    d. $261,000.
167. For an FHA loan on mixed-used use property, the allowable percentage of commercial use for a single-story building must not be more than:
    a. 25%.
    b. 50%.
    c. 75%.
    d. none of the above.
168. The VA loan guaranty program is often called the:
    a. Title 1 Program.
    b. G.I. Bill.

c. FHA Entitlement Program.
d. none of the above.

169. The first step in the VA loan process is:
a. to fill out a loan application.
b. for the veteran to obtain a Certificate of Eligibility.
c. to obtain a loan guaranty from the VA.
d. none of the above.

170. The first step in the VA loan process is:
a. to obtain FHA financing.
b. for the veteran to obtain a Certificate of Eligibility.
c. to obtain a loan guaranty from the VA.
d. none of the above.

171. An estoppel letter is used to:
a. prevent a lender from participating in a loan.
b. protect an agent engaging in a creative financing transaction.
c. prevent a lender from exercising the due-on-sale clause.
d. none of the above.

172. An estoppel letter is used to:
a. prevent a lender from participating in a loan.
b. protect an agent engaging in a creative financing transaction.
c. prevent a lender from exercising the due-on-sale clause.
d. none of the above.

173. The purchaser of an option is called:
a. the optionor.
b. the optionee.
c. the lessee.
d. none of the above.

174. The seller of an option is called the:
a. optionor.
b. optionee.
c. lessee.
d. none of the above.

175. A wraparound mortgage can:
a. provide an above-market rate of return to the seller.
b. allow a buyer to have a below-market interest rate.
c. be used in place of a simple assumption.
d. all of the above.

176. A wraparound mortgage can:
a. provide an above-market rate of return to the seller.
b. allow a buyer to have a below-market interest rate.
c. be used in place of a simple assumption.
d. all of the above.

177. A lease/option is used to:
a. keep a sale alive.
b. reduce the selling price over time.
c. provide income to the seller while awaiting the close of a sale.

d. all of the above.

178. A lease/option is used to:
    a. keep a sale alive.
    b. reduce the selling price over time.
    c. provide income to the seller while awaiting the close of a sale.
    d. all of the above.

179. Those who participate in creative financing should:
    a. consult a real estate attorney.
    b. exercise caution.
    c. both a and b.
    d. none of the above.

180. Those who participate in creative financing should:
    a. consult a real estate attorney.
    b. exercise caution.
    c. both a and b.
    d. none of the above.

181. The process of evaluating lending risk is called:
    a. loan underwriting.
    b. over-insuring.
    c. comparative loan shopping.
    d. all of the above.

182. The process of evaluating lending risk is called:
    a. loan underwriting.
    b. loan evaluation.
    c. property evaluation.
    d. none of the above.

183. Liquid assets include:
    a. real estate only.
    b. cash only.
    c. any assets that can readily be converted to cash.
    d. none of the above.

184. Liquid assets include:
    a. water rights.
    b. any assets that can eventually be converted to cash.
    c. any assets that can readily be converted to cash.
    d. all of the above.

185. An appraiser's primary client is:
    a. the lender.
    b. the loan broker who hired him/her.
    c. the selling and listing agents.
    d. the buyer and seller.

186. The appraiser's primary client is:
    a. the lender.
    b. the loan broker who hired him/her.
    c. the selling and listing agents.
    d. the buyer and seller.

187. Market value is:
    a. the amount the broker needs to do the loan.
    b. the sales price of the home.
    c. the price paid by a typical buyer.
    d. none of the above.
188. Market value is:
    a. the amount the broker needs to do the loan.
    b. the sales price of the home.
    c. the price paid by a typical buyer.
    d. none of the above.
189. Compound interest is:
    a. interest paid on the principal only.
    b. interest paid on the principal and the accrued interest.
    c. compounded monthly only.
    d. none of the above.
190. A median is:
    a. the most frequently occurring number in a set of numbers.
    b. the middle number in a set of numbers.
    c. an unbiased arbitrator.
    d. none of the above.
191. The nominal interest rate is:
    a. the rate stated in the loan documents.
    b. the actual rate compounded on a monthly basis.
    c. APR.
    d. all of the above.
192. The most frequently occurring number in a set of numbers is called:
    a. a histogram.
    b. the mode.
    c. a normal frequency.
    d. the mean.
193. A proration is used to:
    a. convert the nominal rate to an APR.
    b. calculate the broker's commission.
    c. divide expenses fairly between buyer and seller.
    d. none of the above.
194. A proration is used to:
    a. convert the nominal rate to an APR.
    b. calculate the broker's commission.
    c. divide expenses fairly between buyer and seller.
    d. none of the above.
195. The final steps in the lending process are generally handled by:
    a. the processor.
    b. the broker.
    c. the escrow agent.
    d. the underwriter.
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a. the processor.
b. the broker.
c. the escrow agent.
d. the underwriter.

197. The Real Estate Settlement Procedures Act requires that the borrower be given:
a. a good faith estimate
b. any other disclosures required by state law.
c. any other disclosures required by federal law.
d. all of the above.

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a. a good faith estimate.
b. any other disclosures required by state law.
c. any other disclosures required by federal law.
d. all of the above.

199. RESPA:
a. allows kickbacks and unearned fees.
b. prohibits kickbacks and unearned fees.
c. allows unearned fees, but prohibits kickbacks.
d. prohibits unearned fees, but allows kickbacks.

200. RESPA applies to purchase loans secured by first trust mortgages on the sales of:
a. one-to-four-unit properties.
b. vacant land.
c. properties of 25 or more acres.
d. all of the above.

Real Estate Finance
Answer Key

1. a
2. c
3. d
4. a
5. c
6. b
7. d
8. d
9. a
10. c
11. c
12. a
13. d
14. b
15. a
16. b
17. b
18. a
19. b
20. b
21. d
22. c
23. b
24. d
25. d
26. b
27. c
28. b
29. a
30. b
31. d
32. c
33. b
34. a
35. b
36. c
37. c
38. c
39. a
40. d
41. c
42. b
43. b
44. a
45. a
46. c
47. d
48. c
49. c
50. a
51. c
52. d
53. b
54. b
55. b
56. a
57. d
58. b
59. a
60. d
61. a
62. a
63. a
64. b
65. d
66. a
67. c
68. d
69. d
70. d
71. c
72. d
73. a
74. b
75. b
76. a
77. a
78. b
79. c
80. a
81. b
82. b
83. b
84. a
85. d
86. c
87. a
88. a
89. b
90. a
91. c
92. b
93. b
94. c
95. a
96. b
97. b
98. a
99. b
100. a
101. a
102. b
103. c
104. a
105. b
106. c
107. d
108. b
109. c
110. d
111. c
112. c
113. a
114. c
115. c
116. a
117. d
118. c
119. b
120. d
121. a
122. b
123. b
124. d
125. c
126. b

127. c
128. c
129. c
130. c
131. d
132. c
133. b
134. c
135. a
136. b
137. a
138. a
139. a
140. a
141. c
142. a
143. d
144. b
145. c
146. b
147. b
148. c
149. a
150. a
151. d
152. d
153. a
154. a
155. d
156. d
157. b
158. b
159. a
160. a
161. d
162. d
163. c
164. c
165. a
166. a
167. a
168. b
169. b
170. b
171. c
172. c
173. b
174. a
175. d
176. d
177. d
178. d
179. c
180. c
181. a
182. a
183. c
184. c
185. a
186. a
187. c
188. c
189. b
190. b
191. a
192. b
193. c
194. c
195. c
196. c
197. d
198. d
199. b
200. a